matrices had closed critical gaps in its functioning and Tata Chemicals could ‘look forward to a more profitable era in its history’.

The first major initiative that Ratan implemented for Tata Chemicals was the diversification of its product base. The company had entered the fertilizer business by establishing a plant in Babrala, Uttar Pradesh. The next aim was to achieve scale in the existing business. To this end, the soda ash plant capacity was increased from 700,000 to 10,00,000 tonnes per year. In view of the rising demand for urea, it was also ‘proposed to double the production capacity’ of the Babrala plant.

When Ratan had taken over the company, it was ‘static’, says Prasad Menon, former MD (2000–06). In the twenty-four months that Ratan was at the helm, the changes he brought in were evident in the bottom line. In FY 1996, the company recorded a Rs 630.59 crore earnings before interest and taxes (EBIT) or a nearly 160 per cent increase in its EBIT over the previous year. It also reported a five-year EBIT CAGR of 62.9 per cent (1991–96) since Ratan had become the chairman of the Tata Group. The growth was extraordinary.

In 1998, as part of its expansion plan, Tata Chemicals diversified into power generation by establishing a wind energy farm at its 37,000-acre site in Mithapur, Gujarat. The same year, the company also decided to double its cement and increase its soda-ash production capacity and enter the business of importing and marketing LNG.

The expansion programme suddenly hit a roadblock in 1999 when the central government changed its policy on the import of fertilizers. This adversely affected the domestic fertilizer industry. The Rs 1,200 crore expansion plan to double the capacity of the Babrala plant was put on hold on account of the ‘unfavourable administered pricing regime for urea’. Faced with this policy change, Ratan changed course. He began ‘critically looking at all the products as its [Tata Chemicals’] business was impacted’ and refocused its priorities. His main goal was to shift the focus of the company before the new policy eroded its cash reserves.

But the sudden change in the fortunes of the company caused alarm among its shareholders. The share price slipped below its book value, causing many to demand a ‘share buyback scheme’. Ratan tried to pacify the worried shareholders saying, ‘The businesses of this company are under question and need to be reviewed. The company is not in a bad shape, its reserves and surpluses are healthy. But its business[es] are currently in